

Description & Eligibility

Assess intermediate and advanced accounting principles. Contestants analyze, journalize, and update accounts in order to prepare financial reports/statements for partnerships and corporations. Any secondary division contestant may enter this application event. Contestants may *not* enter Fundamental Accounting and Advanced Accounting in the same year.

Contestant Must Supply

- Published and/or unpublished non-electronic written reference materials
- Sharpened pencils, pens, ruler
- Cordless calculator: Electronic devices will be monitored according to ACT standards. See NLC Calculator Guidelines. Contestants who violate this rule will be *disqualified*.

Equipment/Supplies Provided

- Computer and software

Competition Notes

- Method of evaluation: objective | application.
- No equipment, supplies, or materials other than those specified for an event will be allowed in the testing area.
- Previous Business Professionals of America tests and/or sample tests or facsimiles (handwritten, photocopied or keyed) may not be taken into the testing area. **Violation of this rule will result in disqualification.**
- Length of event: no more than ten (10) minutes for orientation, no more than ninety (90) minutes for testing, and no more than ten (10) minutes for wrap-up.
- Entries vary by state.

Contest Competencies

- Complete and explain the purpose of the accounting cycle
- Apply generally accepted accounting principles (GAAP) to determine the value of assets, liabilities, and owner's equity
- Apply accounting concepts for service and merchandising organizations
- Apply accounting concepts for sole proprietorships, partnerships, and corporations
- Classify assets and liabilities
- Analyze and record business transactions
- Determine and record uncollectible accounts receivable, using income statement and balance sheet methods
- Depreciate plant assets
- Determine interest and maturity value of promissory notes and bonds
- Determine inventory valuations using FIFO, LIFO, and weighted-average methods
- Record adjusting and closing entries
- Analyze and record equity transactions for various forms of business ownership
- Prepare, interpret, and analyze financial statements for service and merchandising businesses
- Departmental allocations

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